

'AFFORDABLE' BECOMES UNREALISTIC

By 2019, however, cracks began to appear. Rising construction and land costs strained developers' margins. When the Covid-19 pandemic hit in 2020, wiping out the jobs and incomes of the millions looking for affordable housing, the segment became more unviable for developers.

Anarock Property Research, a market analyst, said the share of affordable homes (priced below ₹40 lakh) in the overall new launches in the top seven metros fell sharply after the pandemic upended lives. From 40% in early 2020, the share of affordable housing decreased to 20% (April-June 2021). Recent data shows that homes priced below ₹50 lakh now account for only 15% of India's overall residential real estate market. But premium homes (those priced above ₹1 crore) are having a good run across the top seven metros, with their share rising to 43% in Q1 of 2023 and 47% in Q1 of 2024.

British real estate services company Savills, which

sell these low-rise units at ₹60-70 lakh. And we also got first mover advantage," he says. Moreover, in what Aggarwal calls the "luxury segment for the middle class," measuring 1,200 sq. ft, these 3BHK units come with swimming pools and health clubs since there is no price cap. Now, Signature Global had something for middle-class buyers again. It took the chance. Soon, it was among the top developers in the Delhi-NCR region.

Ventura Securities, a stock market analysis firm, says, "Signature Global is the largest real estate development company in Delhi-NCR in the affordable and lower mid-segment housing in terms of units supplied (in the below ₹80 lakh price category) between 2020 and the three months ended March 31, 2023, with a market share of 19%." Data from Anarock Research shows that in FY23, Signature Global sold 4.35 million sq. ft, next only to DLF, Godrej Properties, Prestige Estate, Brigade Enterprises and Sobha.

Signature Global was listed on the bourses in

PROFITABILITY REMAINS A CONCERN FOR SIGNATURE GLOBAL. SINCE FY21, THE COMPANY HAS BEEN REPORTING LOSSES AT THE NET LEVEL

76 |

came to India in 2016, says steel, aluminium, and cement became significantly costlier. Steel prices went up by 69% between 2019 and 2023, aluminium went up by 56%, and so did cement. Sumit Rakshit, Managing Director of Savills India's project management services, says, "Thriving in this evolving market requires a deep understanding of fluctuating costs."

THEN 'AFFORDABLE' MOVED UP MARKET

Aggarwal says he had sensed an opportunity in mid-segment housing in 2019, as some homebuyers were looking for larger units. "It was also important to diversify the business, as depending on only one segment has its downside." When the price of land began to surge (by 200-350% in and around Gurugram), building affordable projects did not make sense. At that time, the Haryana government announced its Deen Dayal Awas Yojana to encourage players in mid-income housing (₹50-75 lakh) to offer smaller developed plots (80-100 sq. m). Signature Global used this scheme to launch its first project in Sohna.

"These projects had multiple benefits. Unlike in affordable housing, there was no price cap; we could

September 2023. Since its listing at ₹458 a share, the stock surged to ₹1,413 by early March. On May 15, its stock traded at ₹1,257 a share on the BSE.

Anarock's Puri says the consolidation in the NCR market has helped Signature Global. "It is now one of the most sought-after developers... there aren't many good companies left in the NCR market. So, they are now among the only few reliable developers other than DLF in the residential space in a meaningful way. That's why the markets are saluting them."

After testing the waters with a project off the Dwarka Expressway, Aggarwal is ready to try his luck in premium housing. In Gurugram's Sector 37D, it has launched its first premium high-rise project, with apartments at ₹2.5-3 crore at ₹13,000 a sq. ft. "There are some 1,000 units, and we have received nearly 5,400 applications," he says. The project has generated sales of ₹3,600 crore, which, together with its April-December sales of ₹3,124 crore, has boosted its FY24 sales to close to ₹8,000 crore. (Signature Global reported sales of ₹3,431 crore in FY23.)

Moving towards pricier units has also helped the realtor improve realisation per sq. ft from less than